

3.2 So what really happened?

The decline is **not** algorithm decay — it is the cost of a half-implemented hedge. The slot partition fix forces capital into SHORTs on every session, but the engine has no veto when the regime classifier mis-labels a BULL day as SIDEWAYS. The engine can no longer naturally avoid SHORTs when the market is rising; it now *must* fill the reserved 5 slots.

This is a known class of bug: the protective fix introduced a new failure mode (forced-allocation in adversarial conditions) that the SHORT-arm fix design did not explicitly defend against.
